



Income Tax Department

Ministry of Finance, Government of India

²⁶[Failure to comply with a direction of special audit or valuation.

481. *If a person wilfully fails to comply with a direction issued to him under section 268(5), he shall be punishable with simple imprisonment for a term up to six months, or with fine, or with both.]*

26. Section 481 sub. by Act No. 4 of 2026, w.e.f. **1-4-2026**. Prior to its substitution, sections 481 read as under :

"481. *Failure to produce accounts and documents.*—If a person wilfully fails to produce, or cause to be produced, the accounts and documents as are referred to in the notice served on him under section 268(1) on or before the date specified in such notice, or wilfully fails to comply with a direction issued to him under section 268(5), he shall be punishable with rigorous imprisonment for a term which may extend to one year and with fine."

